The Memo

DAILY INTELLIGENCE BRIEF

MONDAY, MARCH 23, 2026

NO. 0018

Executive Summary

[Iran Ceasefire Window] Trump postpones Iran energy strikes five days. S&P futures surge 2.3%, oil plunges. Binary deadline Friday.

[UK Crisis] Starmer convenes emergency Bailey meeting. Traders price four BoE hikes. Gilt yields hit 2008 highs.

[Goldman Oil Shock] Goldman raises Brent forecast to $85 average. Warns daily prices could exceed 2008's $147 record.

[PE Software Bet] Lead Edge Capital closes $3.5B seventh fund for software — explicitly contrarian amid war-driven selloff.

[French Bank Risk] EBA data: French banks hold EU's highest Middle East exposure at €60.8B. Systemic risk flagged.

[China Energy Play] Chinese battery trio gains $70B. Investors bet Iran war triggers paradigm shift to renewables.

[AI Chip Diversification] Kandou AI raises $225M from SoftBank and Synopsys. Elliott takes multibillion-dollar Synopsys activist stake.

[Japan Wages] Japanese unions win 5%+ wage hike for third straight year. Cements BoJ rate-hike path.

[Data Center Scale] Bain's Bridge Data Centres seeks $6B loan — among Asia's largest-ever DC borrowings — plus 70% stake sale.

[Gulf Capital Threat] Iran strikes UAE directly. FT warns world depends on Gulf capital flows 'more deeply than many realise.'

Credit, Rates & Currencies

DAY 2 **[Trump Postpones Iran Energy Strikes Five Days — Cites 'Productive' Talks]** *Previously: Trump gave Iran 48 hours to reopen Hormuz or face strikes. Iran warned it would hit all US-linked Gulf energy assets.* Pentagon ordered to delay strikes on power plants and energy infrastructure. Oil plunged. Treasuries soared. S&P 500 futures jumped 2.3%. Previously: Trump gave Iran 48 hours to reopen Hormuz or face strikes on power plants. Iran warned it would hit all US-linked energy infrastructure in the Gulf. Five-day window creates binary event risk Friday. Failed talks send oil back up; ceasefire triggers massive unwind of inflation-hedge trades. Energy, airlines, and rate-sensitive sectors most exposed.

DAY 2 **[Goldman Raises Brent Forecast to $85 Average — Flags 'Largest Oil Supply Shock Ever']** *Previously: Goldman reset oil forecasts. WTI closed at $98.81, Brent at $112.19 Friday.* New targets: Brent $85 (from $77), WTI $79 (from $72). Bank warned daily prices could exceed 2008's $147 record if Hormuz stays constrained. Previously: Goldman reset oil forecasts. WTI closed at $98.81, Brent at $112.19 Friday. Recovery hinges on Hormuz reopening. Second upward revision in two weeks. Supply loss peaking at 17M bpd dwarfs any prior shock. Energy capex and transport costs repriced for quarters.

DAY 3 **[US 2-Year Yield Surges to 4% — First Time Since June]** *Previously: War-driven inflation fears pushed 10-year yields to 4.39%. Fed hike probability doubled.* Two-year hit 4% before Trump's postponement reversed some losses. Front end repricing for hikes, not cuts. Previously: War-driven inflation fears pushed 10-year yields to 4.39%, highest since July. Fed hike probability doubled. A 4% two-year directly pressures LBO economics and floating-rate private credit. Spread over fed funds rate now positive — historically a precursor to policy action.

DAY 3 **[UK Gilt Yields Hit Crisis High — Traders Price Four BoE Hikes in 2026]** *Previously: 10-year gilt yields surged past 5%. Markets priced three quarter-point hikes.* Now fully pricing 100bp of tightening. Starmer chaired emergency meeting with Governor Bailey. Pound fell 0.47%. Previously: 10-year gilt yields surged past 5%, highest since 2008. Markets previously priced three quarter-point hikes. Dramatic reversal from two cuts expected in late February. UK CRE, mortgage-dependent consumers, and leveraged corporates face immediate repricing through Q2.

DAY 3 **[Goldman Joins JPMorgan, Barclays — Now Expects ECB Hikes in April and June]** *Previously: JPMorgan and Barclays penciled in three ECB hikes to 2.75%. Morgan Stanley expects two to 2.5%.* Goldman now expects two 25bp hikes. Previously forecast rates steady all year. VP Guindos told El Mundo the bank is 'alert to second-round effects.' Previously: JPMorgan and Barclays penciled in three ECB hikes to 2.75% by year-end. Morgan Stanley expects two hikes to 2.5%. Goldman's pivot from 'hold all year' to 'hike twice' is the strongest consensus shift since 2022. April meeting now live for euro-area rate-sensitive sectors.

DAY 4 **[Gold Slides to Four-Month Low — Rate Hike Bets Crush Traditional Haven]** *Previously: Gold posted worst week since 2020 as war killed rate-cut expectations. ETFs flipped to net outflows.* Spot gold fell 2.7% to $4,367. Silver dropped 3.4%. Fed hike probability hit 32% by December per CME FedWatch. Previously: Gold posted worst week since 2020 as war killed rate-cut expectations. ETFs flipped to net outflows. Gold's wartime decline reflects rate repricing overpowering safe-haven demand. Central banks may be selling reserves to fund energy imports. Precious metals and miners exposed through Q2.

Sources: Bloomberg; Bloomberg; WSJ; Bloomberg; Bloomberg; FT; Reuters; Bloomberg; Reuters; Bloomberg

Global Conflict Monitor

MIDDLE EAST

[Israel-Hezbollah / Lebanon Ground Operations & Gulf States Under Fire] ▲ **Escalating**
Parties: Israel vs. Hezbollah (Iran-backed), Lebanon; Iran vs. UAE, broader Gulf states
Region: Middle East
Latest Development: Israel preparing to expand ground operations in Lebanon. Defense Minister Katz: attacks on Iran will 'increase significantly' this week. UAE reported drone and missile strikes overnight. A vessel struck off Sharjah. Qatar Airways parked long-haul jets in Spain.
Risk Assessment: Direct Iranian strikes on UAE mark escalation beyond Hormuz. Gulf capital flows — a pillar of global RE, PE, and sovereign wealth — face disruption. Dubai's financial hub status under direct threat through Q2.

[Iran-US War / Strait of Hormuz Crisis] ▼ **De-escalating**
Parties: United States, Israel vs. Iran, Hezbollah; UAE, Qatar affected
Region: Middle East
Latest Development: Trump postponed strikes on Iranian energy infrastructure for five days. Cited 'good and productive conversations.' Hours earlier, Iran struck targets across the Persian Gulf including UAE. Israel launched wide-scale airstrikes on Tehran infrastructure. IEA confirmed over 40 energy assets across nine countries severely damaged.
Risk Assessment: Five-day pause creates narrow window. No ceasefire exists. Oil fell sharply but remains above $100. Failed talks by Friday push oil toward Goldman's $147+ scenario. All oil-importing economies face recession risk if Hormuz stays closed beyond mid-April.

ASIA

[India Energy Crisis / Asia Fuel Shortages] ▲ **Escalating**
Parties: India, Pakistan, South Korea, Japan — affected by Hormuz closure
Region: Asia
Latest Development: Modi sought to calm India amid 'acute gas shortage.' Two additional Indian LPG carriers transited Hormuz under bilateral deal. Pakistan ordered cricket fans to stay home to conserve fuel. Japan signaling FX intervention readiness as yen nears 160.
Risk Assessment: India burning $20B+ monthly in FX reserves to defend the rupee. Pakistan's fuel rationing signals economy near breaking point. Asia's major importers face inflationary pressure lasting quarters beyond any ceasefire.

EUROPE

[Ukraine-Russia War] ▬ **Ongoing**
Parties: Ukraine vs. Russia
Region: Europe
Latest Development: Ukrainian drones struck Russia's Primorsk oil port on the Baltic Sea overnight. Fuel tank set on fire. Primorsk is a key Russian oil-export hub. Peace talks remain paused as Iran war dominates US diplomatic bandwidth.
Risk Assessment: Primorsk strike compounds global oil supply loss from Iran. European energy markets and Baltic shipping insurance costs directly exposed. No diplomatic progress likely while Iran consumes US attention.

AFRICA

[Sudan Civil War] ▬ **Ongoing**

Parties: Sudanese Armed Forces vs. Rapid Support Forces

Region: Africa

Latest Development: Fighting continues in Khartoum and Darfur with no ceasefire in sight. UN estimates over 12 million displaced. Humanitarian access remains severely restricted. Global attention diverted to Iran conflict.

Risk Assessment: World's largest displacement crisis deepens with minimal international engagement. Red Sea shipping disruptions from Hormuz crisis compound humanitarian logistics. Agricultural commodity exposure limited but refugee flows pressure Egypt and Chad fiscal positions.

Sources: Bloomberg; Bloomberg; Bloomberg; FT; Bloomberg; Reuters; Bloomberg; Bloomberg

World Affairs

NEW **[Starmer Chairs Emergency Meeting With Bank of England on Iran Fallout]** UK PM convened crisis session with Governor Bailey and senior ministers Monday. One in eight EDF customers already 45+ days overdue on energy bills. Advisers propose temporary cap on energy profits. Crisis format not seen since Truss mini-budget. Windfall taxes and profit caps will shape UK equity and credit through Q2.

NEW **[Merz's CDU Takes SPD Stronghold After 35 Years — Coalition Pressure Mounts]** Christian Democrats secured 31% in Rhineland-Palatinate. SPD at 25.9%. France's far right fell short in municipal elections; Nice its only major win. SPD defeat weakens Merz's coalition partner during wartime energy crisis. Could slow EU defense spending and fiscal coordination.

NEW **[South Korea Taps BIS Veteran Shin Hyun Song as New Central Bank Chief]** Oxford-educated economist nominated as Bank of Korea governor. Career focused on financial-risk studies. Expected to bring hawkish stance as won weakens and oil surges. BoK joins BoE, ECB, and BoJ in hawkish pivot. Asia's major central banks now aligned on inflation-fighting through H2.

NEW **[EU and Australia Near Trade Deal After Eight Years of Talks]** Brussels and Canberra could finally agree on a comprehensive pact. Both seek to diversify amid US unpredictability and Iran-driven disruption. Would be EU's first major trade deal with a Five Eyes nation since Brexit. Australian critical minerals access relevant to defense and energy transition.

DAY 2 **[China State Refiners Explore Iranian Oil Deals After US Waiver]** *Previously: Li Qiang hosted global CEOs in Beijing pledging 'safety and reliability.' Apple CEO Cook praised Chinese partners.* State-owned refiners began exploring Iranian crude purchases after Washington permitted sale of oil already on tankers. Beijing simultaneously pitching 'harbour of stability.' Previously: Li Qiang hosted global CEOs in Beijing pledging 'safety and reliability.' Apple CEO Cook praised Chinese partners. Beijing positioning as both cheap-oil buyer and stability pitch to global capital. Dual strategy accelerates relative advantage over Western energy dependence.

Sources: Bloomberg; Bloomberg; Bloomberg; FT; Bloomberg; Bloomberg; FT

Art & Alternative Assets

NEW **[Iran War Threatens Global Flow of Gulf Capital — FT]** FT warns the world depends on Gulf capital flows more deeply than many realize. UAE under direct Iranian fire. Dubai luxury boom faces existential question. Gulf sovereign wealth underpins global art, luxury RE, and alternatives. Direct strikes on UAE threaten deployment pace for art fairs, galleries, and luxury brands through H2.

NEW **[China Battery Trio Gain $70B — Investors Bet Iran War Accelerates EV Shift]** Chinese clean energy share gains outstrip oil majors. FT reports structural reassessment of energy transition timelines. $70B gain signals capital repricing the energy transition as near-term trade. EV battery metals now function as macro-hedge for energy-shock portfolios.

NEW **[LVMH to Kering Defy Slowdown — More Stores in Europe]** Gucci, Fendi, and Bulgari owners opened more European stores in 2025 despite sector-wide deceleration. Signals confidence in domestic demand as Middle East and Asia clouds thicken. European expansion during downturn is a market-share grab and geopolitical hedge. Watch Richemont and Kering Q2 comps for regional mix shifts.

NEW **[Larry Fink — AI Threatens to Leave Masses Behind Unless They Invest]** BlackRock CEO's annual letter warns wealthy AI backers could reap most rewards. Called for broader individual participation in AI-driven gains. Fink positions BlackRock for retail AI product launches. Expect tokenized or fractional AI-exposure vehicles from asset managers within quarters.

Sources: FT; FT; Bloomberg; Bloomberg; FT

Design, UX & Industrial

NEW **[Poste Italiane Bids €10.8B to Renationalize Telecom Italia]** Italian state postal company launched full takeover of former phone monopoly. Returns Telecom Italia to government ownership three decades after privatization. Renationalization marks European trend toward state control of digital networks during wartime. Impacts KKR-backed FiberCop and broader telecoms M&A.

DAY 3 **[Nike Recycled-Textile World Cup Kits — 'Circular Fashion' Test at Scale]** *Previously: Flags, lions, and stars engineered into fabric rather than printed. Traditional palette preserved.* First circular materials deployed at this scale in global sport. Nike-sponsored teams will wear kits from recycled textile waste. Previously: Flags, lions, and stars engineered into fabric rather than printed. Traditional palette preserved. Largest proof-of-concept for circular materials in performance apparel. Watch consumer willingness-to-pay and durability data post-tournament.

Sources: Bloomberg; FT

AI & Technology

NEW **[Elliott Takes Multibillion-Dollar Stake in Synopsys — Plans to Push for Changes]** Activist built significant position in the chip-design software maker. Synopsys is critical infrastructure for semiconductor design. Elliott plans to push for changes at the $75B+ company. Elliott targets a chokepoint in the AI supply chain. EDA tools required for every advanced chip. Activism could reshape the $90B+ semiconductor ecosystem.

NEW **[FT — Iran War Could Derail the AI Boom]** Chip supply chain depends on Middle East energy and chemicals. Qatar helium exports disrupted. Singapore jet fuel hit record $225.62. Over 40 energy assets severely damaged across nine countries. Prolonged Hormuz closure could delay semiconductor capacity expansion 6-12 months. Firms with locked-in energy contracts gain decisive advantage.

Sources: Bloomberg; FT

Economic & Business Intelligence

NEW **[Markets Reverse — S&P Futures Jump 2.3%, Oil Plunges on Iran Pause]** S&P 500 futures soared 2.3% after Trump postponed energy strikes. European stocks reversed correction-level declines. Brent tumbled. Bitcoin and copper rallied. The 2.3% pop reflects short-covering, not fundamental shift. If talks collapse Friday, selloff will be sharper given elevated expectations now priced in.

NEW **[French Banks Hold EU's Highest Middle East Exposure — €60.8B]** EBA data: French lenders had €60.8B in direct Middle East counterparty exposure at year-end 2025. ECB already probing bank Iran-war exposure. BNP Paribas, SocGen, and Crédit Agricole face concentrated risk. French bank CDS spreads widen first if Gulf entities hit force majeure. European financial stability implications if conflict extends beyond Q2.

NEW **[Japan Unions Win 5%+ Wage Hike for Third Straight Year]** Largest labor group secured average pay above 5%. Keeps BoJ on track for another rate hike. Government signaling FX intervention readiness as yen nears 160. Third consecutive 5%+ round cements Japan's escape from deflation. Combined with yen intervention risk, powerful punch for yen-short carry trades.

NEW **[Berkshire Hathaway Takes $1.8B Stake in Tokio Marine]** New investment in Japan's largest non-life insurer. Deepens Berkshire's Japan allocation alongside trading house positions. Buffett buys float-generating businesses when others flee risk. Tokio Marine benefits from war-related premium increases on shipping and energy. Signature move in yen weakness.

NEW **[Danone Acquires UK Protein Drink Maker Huel in ~€1B Deal]** French food giant swoops on fast-growing complete nutrition brand. DTC model and younger consumer base offer margin expansion. Accelerates Danone's pivot from legacy dairy to performance nutrition. Signals broader FMCG consolidation of functional food brands.

NEW **[UBS's Ermotti — May Pare Back Spending on Iran War Uncertainty]** CEO said war could force investment cutbacks. Strategy intact but execution pace may slow. When Europe's largest wealth manager signals capex cuts, it's a leading indicator for continental corporate retrenchment. Expect similar signals in Q1 earnings.

Sources: Bloomberg; Bloomberg; Bloomberg; FT; FT; Bloomberg; Bloomberg

Private Equity

NEW **[Lead Edge Capital Raises $3.5B for Seventh Software Fund]** Growth equity firm closed fund despite sector selloff. Backed ByteDance, Spotify, and Grafana Labs. Seventh fund is largest yet. Contrarian raise signals LP conviction that war-driven software selloff creates vintage opportunity. Software multiples at 18-month lows provide attractive entry.

NEW **[EA Touts $700M Cost Savings to Woo Buyout Debt Investors]** Battlefield 6 and Skate pitched as multi-million-dollar accounting adjustments. $700M in projected synergies anchors the take-private debt package. $700M savings projection is critical to clearing an $18B+ syndication in volatile markets. Becomes real-time benchmark for leveraged finance health in H1 2026.

NEW **[Grab Buys Delivery Hero's Taiwan Unit for $600M — First Move Beyond SE Asia]** Foodpanda Taiwan acquisition marks Grab's first expansion outside Southeast Asia. Delivery Hero continues portfolio rationalization. Geographic expansion at $600M signals super-app confidence in Asian growth. Taiwan offers stable consumer base outside Middle East disruption zone.

DAY 5 **[Bain's Bridge Data Centres Seeks Up to $6B Loan — Asia's Largest DC Borrowing]** *Previously: AI infrastructure demand surging. Bain considering continuation fund.* Bridge in talks for up to $6B loan. Simultaneously, Bain weighing sale of up to 70% stake. Citigroup and JPMorgan running the process. Previously: AI infrastructure demand surging. Bain also considering continuation fund. Dual-track — $6B loan plus 70% equity exit — tests syndication capacity in tightening markets. Asian DC assets command premium multiples from sovereign wealth and infra investors.

Sources: Bloomberg; Bloomberg; Bloomberg; Bloomberg

Venture & Exits

NEW **[Kandou AI — $225M Raise From SoftBank, Synopsys for AI Chips]** SoftBank, Synopsys, and Maverick Silicon participated. Led by former Goldman managing director. Targets AI accelerator market outside Nvidia's dominance. SoftBank's AI silicon deployment alongside strategic investor Synopsys validates alternative chip architectures. Watch competitive pressure on Nvidia's inference share.

NEW **[Solo Investor Air Street Raises $232M to Chase AI Bets]** London-based Nathan Benaich raised $232M. Solo GP model targets AI where larger funds move too slowly. One of Europe's largest solo-run AI funds. Solo GP raising $232M signals LP appetite for concentrated AI strategies. London base suggests European AI deal flow maturing.

NEW **[Dash0 Hits Unicorn Status — $110M for Software Monitoring]** Balderton Capital led $110M round at $1B valuation. Platform detects software system problems. US expansion planned. Observability is picks-and-shovels for the AI agent era. Competes with Datadog and Splunk for next-generation workload monitoring.

NEW **[Chinese IPOs in US Falter Amid Scrutiny of Manipulation Schemes]** Regulators cracking down after 'toxic' small-cap Chinese stocks inflicted losses on US investors. FT reports systematic manipulation patterns. Crackdown further chills Chinese cross-border listings. Accelerates bifurcation of US and Chinese capital markets.

NEW **[South Korea's Defense Startups Surge as Global Conflicts Flare]** Previously closed corporate ecosystem now opening to startups making experimental weapons. Iran war accelerating demand. Korean defense tech is new VC frontier. Hanwha and Korea Aerospace provide clear customer pipeline. Iran war validates dual-use autonomous systems thesis.

Sources: Bloomberg; FT; Bloomberg; FT; Bloomberg

Real Estate & Property

NEW **[Iran War Leaves US Oil & Gas Dealmaking 'In Paralysis' — FT]** Surging energy prices make transaction valuations impossible to calculate. Buyers and sellers cannot agree on pricing. Deal flow frozen. Bid-ask paralysis extends into energy-adjacent RE — industrial, logistics, and data centers. Expect 2-3 months of deal drought until oil stabilizes.

NEW **[Sony Nears $1B Sale of Home Entertainment Unit to China's TCL]** Approaching binding agreement for majority stake in home entertainment business. Cedes TV manufacturing to Chinese rival. Sony's exit continues asset-light pivot. Further consolidates consumer electronics manufacturing in Chinese hands — regulatory scrutiny possible.

Sources: FT; Bloomberg

Operational Calendar

CONFIRMED EVENTS

March 23 — Starmer Emergency Meeting With Bank of England
UK PM chairs crisis session with BoE Governor Bailey on Iran economic fallout. London.

March 23-27 — CERAWeek Houston — Major Energy Conference
Global energy leaders convene amid Hormuz crisis. Aramco CEO Nasser withdrew to deal with war. Houston.

March 25 — Denmark National Election
PM Frederiksen rides Trump Greenland confrontation into resurgence. Nuclear power, wealth tax, Ørsted's future on ballot. Copenhagen.

March 25 — Chile Central Bank Rate Decision
Expected to hold. Government balks at fuel subsidy costs. Santiago.

March 25-29 — Art Basel Hong Kong 2026
240 exhibitors, two new sectors. VIP days March 25-26. Hong Kong Convention Centre.

ON THE HORIZON

March 28 — Trump's Five-Day Iran Strike Postponement Expires
Deadline for renewed military action on Iranian energy infrastructure. Binary market event.

Late March — Global Flash PMIs and Consumer Confidence Data
First hard data capturing Iran war impact on manufacturing and sentiment.

Sources: Bloomberg; Bloomberg; Bloomberg; Bloomberg; Bloomberg; Bloomberg; FT

CONTEMPORARY ART SPOTLIGHT

Cecily Brown — 'Picture Making' Opens at Serpentine

London's Serpentine Gallery opens Cecily Brown's 'Picture Making' March 27. New paintings hang alongside works dating to 2001. Quarter-century survey of one of the most commercially potent painters working today. Follows Brown's 2022 Met retrospective — a rare honor for a living painter.

Anish Kapoor 2017 — Vogler — CC BY-SA 4.0, via Wikimedia Commons

BORN 1966 · BRITISH-AMERICAN · MET RETROSPECTIVE 2022 · GAGOSIAN REPRESENTED · WORKS IN MAJOR MUSEUM COLLECTIONS GLOBALLY

[Why it matters] Brown is both critical darling and market force. Paintings merging figuration and abstraction have commanded $6M+ at auction. The Met retrospective advanced her claim as leading figurative painter of her generation. London collectors now test it with fresh work alongside historical pieces.

[Current peg] Opens during Art Basel Hong Kong week amid market uncertainty. London's gallery season becomes a barometer for collector confidence. New work alongside proven material gives buyers multiple entry points.

[Historical context] Brown moved from London to New York in the early 1990s. Rose alongside Elizabeth Peyton and John Currin. Her 2022 Met show placed large-scale paintings in dialogue with Old Masters.

[One thing to know] Institutional and market momentum reinforce each other. The Met legitimized museum-scale ambition. Serpentine follows within four years. London opening during Art Basel HK creates a split-attention dynamic — those who can't travel to Asia may concentrate buying in London.

Sources: The Memo Research

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